Types of Entrepreneur

Lecture 4

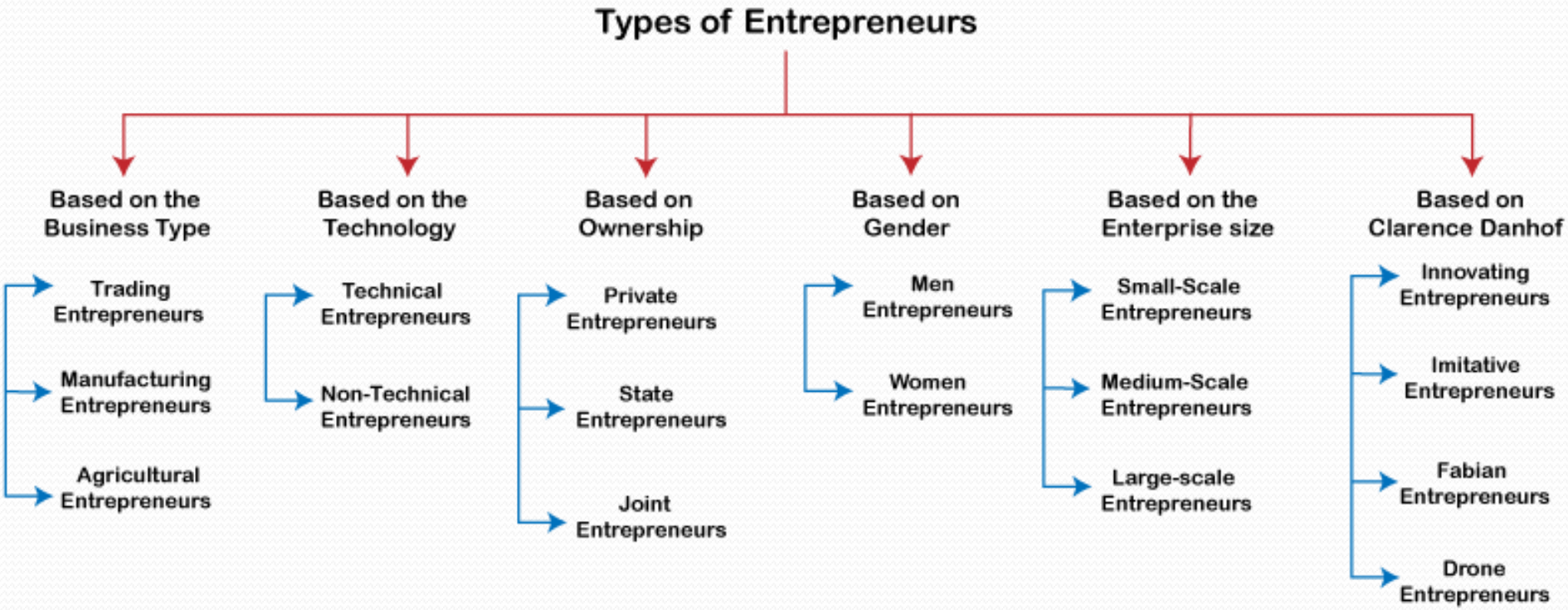
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Different Types of Entrepreneurs

- Researchers who have studied entrepreneurial behavior suggest that there are different types of entrepreneurs.
- The various types of entrepreneurs are classified on certain parameters.
- All types of entrepreneurship are essential and complementary forces of economic development.
- Some important classifications are described below:




Types of Entrepreneurs
Based on the Business Type
Trading Entrepreneurs
Manufacturing Entrepreneurs
Agricultural Entrepreneurs
Based on the Technology
Technical Entrepreneurs
Non-Technical Entrepreneurs
Based on Ownership
Private Entrepreneurs
State Entrepreneurs
Joint Entrepreneurs
Based on Gender
Men Entrepreneurs
Women Entrepreneurs
Based on the Enterprise size
Small-Scale Entrepreneurs
Medium-Scale Entrepreneurs
Large-scale Entrepreneurs
Based on Clarence Danhof
Innovating Entrepreneurs
Imitative Entrepreneurs
Fabian Entrepreneurs
Drone Entrepreneurs

1. On the Basis of Economic Development:

- Clarence Danhof classified entrepreneurs into four groups on the basis of economic development.

A) Innovating Entrepreneurs:

B) Adoptive or Imitative Entrepreneur

C) Fabian Entrepreneur

D) Drone Entrepreneur

A. Innovating Entrepreneurs:

- This type of entrepreneurship is characterized by aggressive assemblage of information and the analysis of results deriving from novel combination of factors of production.
- Entrepreneurs falling in this class are generally aggressive in experimentation and have creative and innovative ideas of starting a new business.

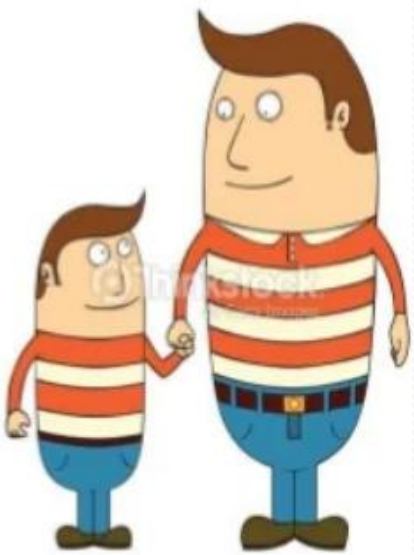


- An innovating entrepreneur sees the opportunity for introducing a new technique or a new product or a new market, thus, results in the creation of something new.
- They are the contributors to the economic development of a country, so they are very commonly frond in undeveloped countries.



B. Adoptive or Imitative Entrepreneur:

- The imitative entrepreneurs copy or adopt suitable innovations made by the innovative entrepreneurs, they only imitate technology innovated by others.
- Imitative entrepreneurs are most suitable for the developing regions because in such countries people prefer to imitate the technology, knowledge and skill already available in more advanced countries.



- In highly backward countries there is shortage of imitative entrepreneurs also. People who can imitate the technologies and products to the particular conditions prevailing in these countries are needed.
- Imitative entrepreneurs help to transform the system with the limited resources available.
- However; these entrepreneurs face lesser risks and uncertainty than innovative entrepreneurs.

- ***While innovative entrepreneurs are creative, imitative entrepreneurs are adoptive.***

C. Fabian Entrepreneur:

- By nature these entrepreneurs are shy and lazy. This type of entrepreneurs have neither will to introduce new changes nor desire to adopt new methods of production innovated by the most entrepreneurs.
- They follow the set procedures, customs, traditions and religions.
- They are not much interested in taking risk and they try to follow the footsteps of their predecessors.
- Usually they are second generation entrepreneur in a business family enterprise.

D. Drone Entrepreneur:

- The type of entrepreneurs refuse to copy or use opportunities that come on their way.
- They are conventional in their approach and stick to their set practices products, production methods and ideas. They struggle to survive not to grow.
- They may be termed as Laggards. In such cases the organization looses market, their operations become uneconomical and they may be pushed out of the market.

2. On the Basis of Type of Business:

- Under this category we can classify entrepreneurs as described below:

A) Agricultural Entrepreneur

B) Industrial Entrepreneur

C) Trading Entrepreneur

A. Agricultural Entrepreneur:

- They undertake agricultural activities as cultivation, mechanization, irrigation and application of technologies to produce the crop.
- They cover a broad spectrum of the agricultural sector and include agriculture and allied occupations.

B. Manfacturing or Industrial Entrepreneur:

- Industrial entrepreneur is essentially a manufacturer who identifies the needs of customers and creates products or services to serve them.
- He is product-oriented who starts through an industrial unit to create a product like electronic industry, textile unit, machine tools.

C. Trading Entrepreneur:

- These entrepreneurs undertake trading activities and are not concerned with the manufacturing work.
- They identifies potentiality of their product in markets, stimulates demand for their product line among buyers.
- They may go for both domestic and overseas trade.
- These entrepreneurs demonstrated their ability in pushing many ideas ahead which promoted their business.

3. According to the Use of Technology:

- The application of new technology in various sectors of the national economy is essential for the future growth of business.
- We may broadly classify these entrepreneurs on the basis of the use of technology as follows:

A. Technical Entrepreneurs

B. Non-technical Entrepreneur

A. Technical Entrepreneurs:

- This entrepreneurship based on science and technology.
- With the decline of joint family business and the rise of scientific and technical institutions, technically qualified persons have entered the field of business.
- These entrepreneurs may enter business to commercially exploit their inventions and discoveries.
- They employ experts in financial, legal- marketing and other areas of business.
- Their success depends upon how they start production and on the acceptance of their products in the market.

B. Non-technical Entrepreneur:

- Non-technical entrepreneurs are those who are not concerned with the technical aspects of the product or service in which they deal.
- They are concerned only with developing alternative marketing and promotional strategies for their product or service.

4. According to Motivation:

- Motivation is the main force that promotes the efforts of the entrepreneur to achieve his goals.
- According to motivation we can classify entrepreneur as:.

A. Pure Entrepreneur

B. Induced Entrepreneur

C. Motivated Entrepreneur

A. Pure Entrepreneur:

- A pure entrepreneur is the one who is motivated by psychological, economical, and ethical considerations.
- He undertakes an entrepreneurial activity for his personal satisfaction in work, ego or status.

B. Induced Entrepreneur:

- This type of entrepreneur is one who induced to take up an entrepreneurial task due to the policy reforms of the government that provides assistance, incentives, concessions and other facilities to start a venture.
- Most of the small scale entrepreneurs belong to this category and enter business due to financial, technical and several other facilities provided to them by the various agency of Govt. to promote entrepreneurship.

C. Motivated Entrepreneur:

- New entrepreneurs are motivated by the desire for self-fulfillment.
- They come into being because of the possibility of making and marketing some new products for the use of consumers.

5. According to Entrepreneurial Activity:

- Based on entrepreneurial activity, entrepreneurs are classified as :

A) Novice entrepreneur.

B) Serial entrepreneur.

C) Portfolio entrepreneur.

A. Novice Entrepreneur:

- A novice is someone who has started his/her first entrepreneurial venture.
- A novice entrepreneur is an individual who has no prior business ownership experience as a business founder, inheritor of a business, or a purchaser of a business.
- It is not similar to early starter; a novice can also be a 50 years old with over 25 years of experience in the industry.

- Novice Entrepreneur:

Has no prior business ownership experiences as a business founder, inheritor, or purchaser

- Habitual Entrepreneur:

Has prior business ownership experience

- Nascent Entrepreneur:

In the process of starting a new business, Can be either a novice or a habitual entrepreneur

B. Serial Entrepreneur:

- A Serial Entrepreneur is someone who is devoted to one venture at a time but ultimately starts many.
- It is the process of starting that excites the starter.
- Once the business is established, the serial entrepreneur may lose interest and think of selling and moving on.

C. Portfolio Entrepreneur:

- A portfolio entrepreneur is an individual who retains an original business and builds a portfolio of additional businesses through inheriting, establishing, or purchasing them.
- A portfolio entrepreneur starts and runs a number of businesses. It may be a strategy of spreading risk or it may be that the entrepreneur is simultaneously excited by a variety of opportunities.
- Also, the entrepreneur may see some synergies between the ventures.

6. According to the Stages of Development

A. First-Generation Entrepreneurs:

- This category consists of those entrepreneurs whose parents or family had not been into business.
- A first-generation entrepreneur is one who starts an industrial unit by means of an innovative skill.
- He is essentially an innovator, combining different technologies to produce a marketable product or service.

B. Second-Generation Entrepreneurs:

- They are those who inherit the family business firms and pass it from one generation to another

C. Classical Entrepreneurs:

- It is stereotype entrepreneur whose aim is to maximize his economic returns at a level consistent with the survival of the unit with or without an element of growth.

7. According to the Basis of Ownership

i)Private entrepreneurs:- individual or group set up enterprise, arrange finance, share risk etc..

ii)State entrepreneurs:- means the trading or industrial venture undertaken by the state or the government itself.

iii)Joint entrepreneurs:- the combination of private and government entrepreneurs.



8. *According to the Size of Enterprise*

1. Micro Enterprises:
2. Small-Scale Entrepreneurship:
3. Medium-Scale Entrepreneurship:
4. Large-Scale Entrepreneurship:

Size class	Persons employed	Annual turnover
Micro-enterprises	Up to 9	Up to EUR 2 million
Small enterprises	9-49	EUR 2-10 million
Medium-sized enterprises	49-249	EUR 10-50 million
Large enterprises	More than 249	More than EUR 50 million

9. According to the Gender and Age

i)Man entrepreneurs
ii)Women entrepreneurs
iii)Young entrepreneurs
iv)Old entrepreneurs
v)Middle-aged entrepreneurs



10. Others

Social Entrepreneur:

- Social entrepreneur is a type of non profit venture.
- The money earned through such ventures is invested towards the company′s goals and research rather than the development of enterprise or expansion.
- Such as : child upliftment, working for the betterment of the blind or initiatives to empower women, the entrepreneur’s passion is very strong.
- Freedom, wealth, exposure, social mobility and greater individual confidence are driving this huge wave of social innovation and entrepreneurship.

- Social entrepreneurship is typically driven by funding through external investors who support the mission towards resolving social issues.
- In Social entrepreneurship, entrepreneurs usually raise funds through various alternative methods such as, sponsorship, grants, donations earned through their social groups, etc.


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